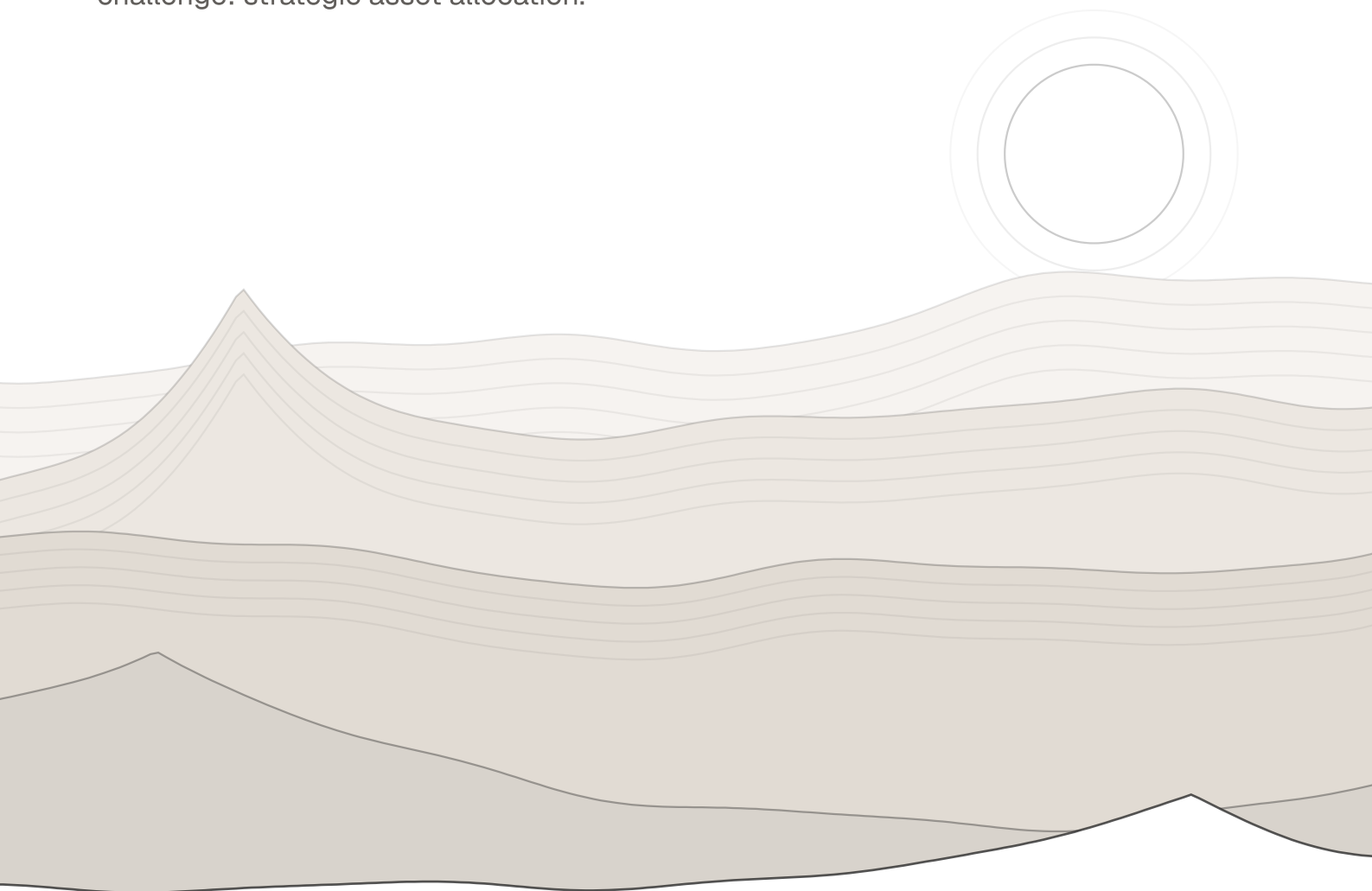




USI ASSET MANAGEMENT CHALLENGE 2025/26

Challenge Report Round 1

Performance, positioning and outlook for Round 1 of the challenge: strategic asset allocation.



NAV

CHF 1.112M

SINCE INCEPTION

+11.2%

PUBLISHED

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A round of patience rewarded

Dear members of the jury,

The fund returned **+4.1%** in Round 1 against **+2.0%** for our benchmark, bringing performance since inception to **+11.2%** versus **+5.6%**. The excess return came mainly from stock selection in Swiss financials and our rotation into semiconductors.

The round opened with renewed tariff headlines, but the de-risking we completed in Round 2 left us with a beta of 0.71 and 9% in cash. We used the weakness to add to TSMC and Zurich Insurance at prices we had set in advance.

Late in the round UBS reached our price target of CHF 34. In line with our process we trimmed the

position from 8.2% to 6.4% rather than exiting, as the capital-return story remains intact.

Our largest detractor was Sika (–6.7%), where construction volumes in China disappointed. We reviewed the thesis at committee and decided to hold at a reduced 3.9% weight.

Looking ahead, we expect the SNB to keep rates on hold, a modestly weaker franc and continued dispersion in technology. The following pages set out our positioning in detail.

Respectfully,

Luca Di Pietro, Portfolio Manager

ROUND 1 RETURN

+4.1%

BENCHMARK

+2.0%

SHARPE

1.24

MAX DD

–5.3%



Ahead of benchmark by 5.6 points

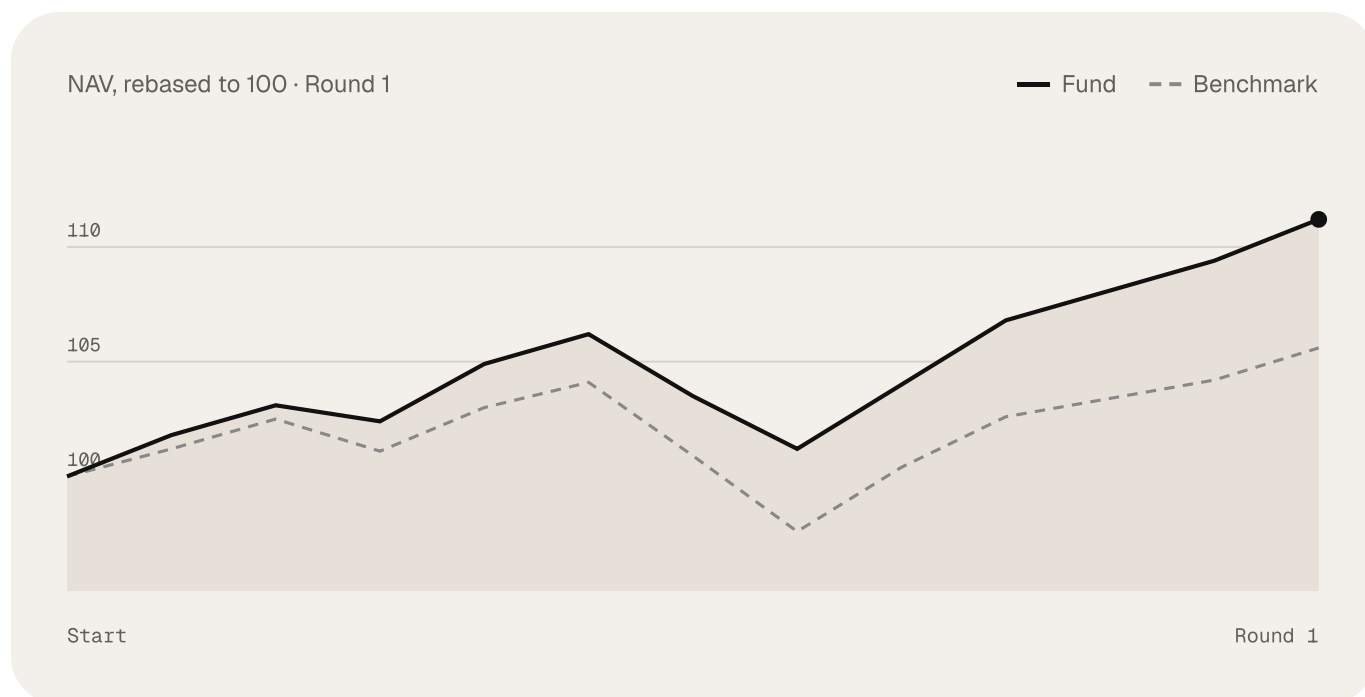


Figure 1 — Cumulative performance. Benchmark: 60% SPI / 40% MSCI World in CHF.

PERIOD	FUND	BENCHMARK	EXCESS	VOLATILITY
Round 1	+3.7%	+2.3%	+1.4%	9.2%
Since inception	+11.2%	+5.6%	+5.6%	10.6%

TOP CONTRIBUTORS

NVIDIA +0.9pp · UBS Group +0.7pp · TSMC +0.6pp

TOP DETRACTORS

Sika -0.3pp · Nestlé -0.2pp · SAP -0.1pp

Positioning

SECTOR ALLOCATION

Technology	25.2%
Health Care	19.1%
Financials	11.6%
Consumer	12.2%
Fixed Income	7.4%
Industrials & Materials	10.0%
Gold & ETFs	11.5%
Cash	3.0%

TICKER	NAME	WEIGHT	RETURN
NOVN	Novartis	8.6%	+14.1%
NESN	Nestlé	7.8%	-4.2%
SBOND	CHF Swiss Bond ETF	7.4%	+1.9%
ROG	Roche Holding	7.2%	+9.8%
MSFT	Microsoft	6.9%	+16.2%
UBSG	UBS Group	6.4%	+22.5%
ABBN	ABB	6.1%	+18.3%
GOLD	Physical Gold ETC	6.0%	+24.0%
ASML	ASML Holding	5.8%	+12.4%
EMKT	MSCI EM ETF	5.5%	+9.2%
+ 8 further positions and cash		32.3%	

CHANGES THIS ROUND

29.09	TRIM	UBSG	Price target reached; 8.2% → 6.4%
22.09	BUY	LONN	Initiated 3.3% on CDMO capacity thesis
01.09	BUY	SBOND	Added duration ahead of SNB decision
18.08	TRIM	NVDA	Position above 6% single-name risk limit

Within every limit

RISK MEASURE	LIMIT	CURRENT	STATUS
Largest single position	9.0%	8.6%	OK
Largest sector	30.0%	25.2%	OK
Portfolio beta	0.6–1.0	0.78	OK
Drawdown from peak	–12.0%	–0.8%	OK
1-month VaR (95%)	6.0%	4.3%	OK

Outlook for the final evaluation

Macro. We expect Swiss inflation to stay below 1% and the SNB to hold its policy rate. A gradual easing cycle in the US should support global equities, though valuations leave little margin for error.

Positioning. We keep a modest overweight in equities, a defensive Swiss core and the gold hedge.

Cash will be redeployed only at pre-agreed entry levels.

Key risks. Renewed trade tensions, a sharp franc appreciation and a reversal in AI-related capital expenditure are the scenarios we stress-test weekly.

Watchlist. Partners Group, Schindler and Alcon are under review for the next committee.

KEY TAKEAWAY

We close the challenge with excess return locked in, risk well inside limits and capital ready to deploy.

The team

Luca Di Pietro	Portfolio Manager	Tommaso Rotondò	Chief Risk Officer
Filippo Selmi	Health Care	Giulia Musi	Technology
Elena Rocco	Macro & Fixed Income	Aaron Arauz	Quant & Data

METHODOLOGY

Returns are time-weighted, in CHF, net of simulated transaction costs of 10 bp per trade. Risk figures use weekly returns since inception. Sharpe ratio uses SARON (0.5%) as the risk-free rate.



Matterhorn Capital Management

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Matterhorn Capital Management is a simulated portfolio managed by students for the USI Asset Management Challenge. All figures are based on virtual capital and are presented for educational purposes only. Past performance is not indicative of future results. Nothing in this report constitutes investment advice or an offer to buy or sell any security.